

TIME TO EXPIRY

How much time is left in expiry again affects the risk or uncertainty for the seller. The price of a stock may not move 100 points (say) in a day but the chances of it moving those many points in a month are much higher.

Therefore, the risk in an option expiring in a month is greater than the risk in an option expiring in a day or week.



The profits of the seller are limited to the premium amount. As the possibility of loss increases due to uncertainty, the seller would higher reward for the higher risk taken. The premium hence will increase with an increase in time to expiry for both call and put.

